



The Cocktail Co

Final Presentation

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Content



- ◆ **Introduction**
- ◆ **Consumers**
- ◆ **Product Features**
- ◆ **Distribution Channels**
- ◆ **Conclusion**

Introduction

**Consumption culture of
RTD cocktails**

**Consumer taste and
preferences of RTD cocktails**

**Preferences of Products
(Generation Z Consumers)**

**Secondary
Research**

Questionnaires

Interviews

Data Collection

Consumers Aged 18-44



250 Responses

Consumers Aged 18-25



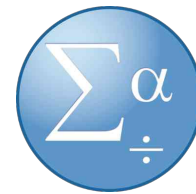
153 Responses



5 Interviews

Tools for Analysis

qualtrics^{XM}



ATLAS.ti
QUALITATIVE DATA ANALYSIS

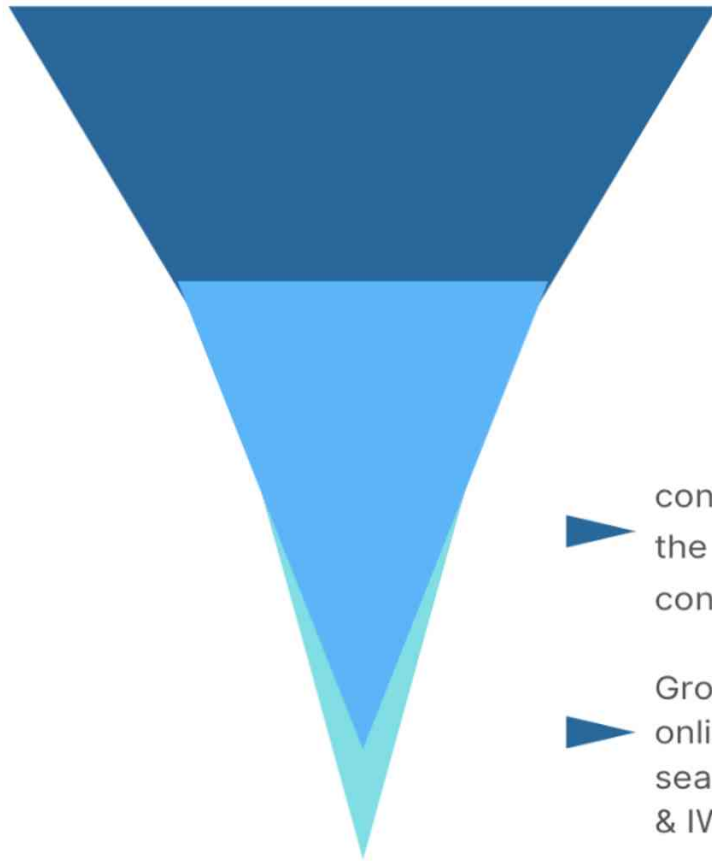
PART 1

About Consumers

- Consumption Culture -



Background of the RTD Market supported by secondary research



55%

Maintained their consumptions levels (Plata et el, 2021)

21%

Increased their consumption levels (Plata et el, 2021)

5%

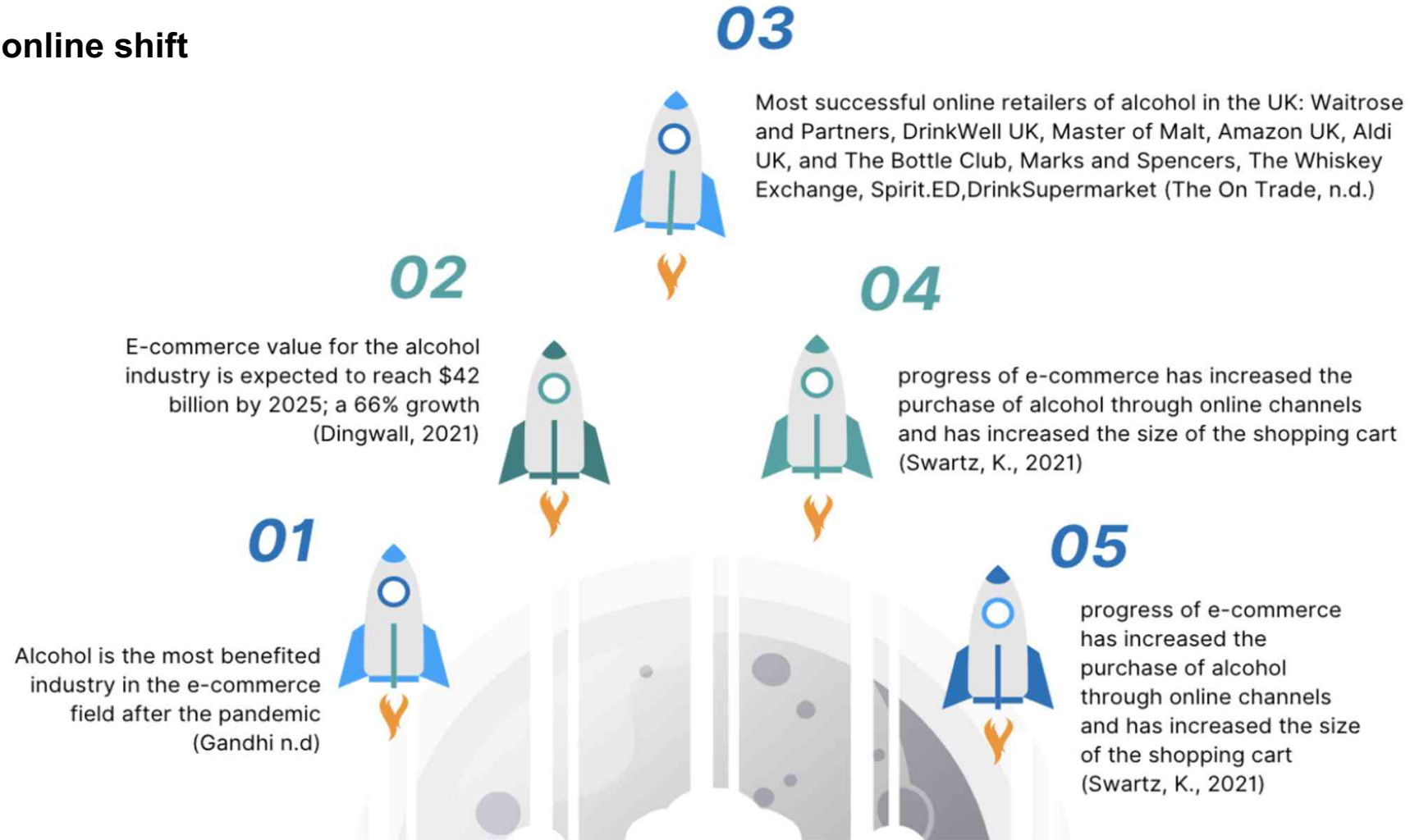
Reduced their consumption levels (Plata et el, 2021)

convenience, quality, variety, flavours, ingredients, and the growing cocktail culture - Due to lifestyle and consumer behaviour changes (IWSR, 2020)

Growing e-commerce channel for alcohol and consumer online shift, flavour, health and sustainability, price, seasonality and convenience - Key influencing factors (Mintel & IWSR, 2022)

Factors affecting consumption culture of RTD beverages

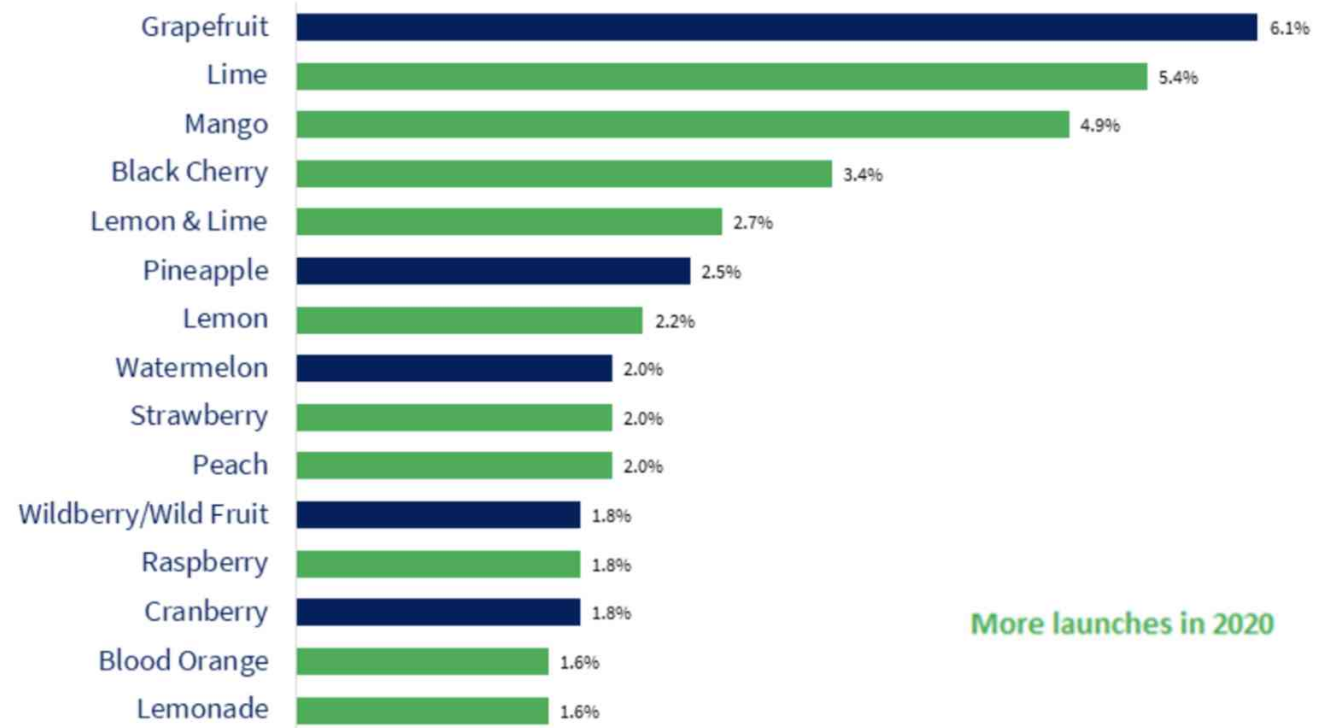
a. Consumer online shift



b. Flavor

- the market has dramatically transformed and repositioned itself with the introduction of **fruit-flavored drinks and many more sophisticated flavors** (Green, 2021).
- Consumer's view flavor as their primary consumption drivers for RTDs, especially for spirit based RTDs however **malt-based RTDs** dominated the market with **91% share volume**. Spirit based RTD is popular for Gin & Tonics, Cocktails, Hard seltzers etc. providing a great **scope in the market with the diversification of flavors** (IWSR, 2021)
- a study of flavor preferences in youth versus adults was conducted by Hoffman et al (2016); it was found that when it came to the category of alcohol, advertising that paired alcohol with **fruits and sweeteners made a product appear 12% more palatable**.
- according to Cocktails F (2022), **34% of customers repeat purchases of passion fruit martinis, 11% of customers order mojitos, 10% order daiquiris, and 8% order Piña Colada**.

Flavored Alcoholic Beverages
Top 15 Flavors = >40% of total Launches
North America - 2018-2020



Source: (FlavorSum, 2021)

C. Health and Sustainability

- In the recent years, consumer's purchasing decision has not just been influenced by product and quality but also by their values and beliefs when they purchase products (Lestari, Hanifa and Hartawan, 2020)
- 61% of consumers reduced their use of single-use plastic and 1/3rd of consumers refrained from purchasing brands not operating ethically or adhering to sustainability standards (Deloitte, 2021)
- Cocktails, spirits, wine, and beer have been part of the most innovative developments when it comes to sustainability as they aim to reduce packaging waste by 85%, packaging by 95% and overall, reduce carbon emissions by reduced packaging efforts at multiple distribution channels (IWSR, 2021).
- plant-based alternatives for packaging, use of recyclable PET and aluminum for bottles and cans are considered to be more effective in achieving these goals (IWSR, 2021).
- increasing consumer awareness for health as well as a shift in preferences towards healthy eating dominate today's food and beverage market (LTD, 2022)
- people searching for 'mindful drinking' on Google increased by 127% from 2021 (Bupa, 2021)
- need for products with low calorie and low alcohol content with an emphasis on natural and organic ingredients with sustainable packaging and a wider variety of sophisticated flavors (IWSR, 2021)

d. Price

- increased in middle-income populations in the UK → upgrading of lifestyles, consumer taste and consumption preferences → increased demand for premium RTD alcoholic beverage products (Persistence market search, n.d.).
- A study conducted by Jones, Sandra C.; Barrie, Lance R.; and Gregory, Parri in 2008 where they examined multiple alcohol shops in south Wales to see if tax increases affect the affordability of RTD alcohol drinks among younger age groups and concluded that such an increase had **no significant impact on the affordability of these products**, and people **consumed them regardless of the price changes**.

e. Convenience

- RTD cocktails have proven to be the most convenient among other RTDs as it comes pre-mixed (IWSR, 2022)
- Unlike cocktails that can be made at home (Cosmopolitan, Passion Fruit Martini, Mojito, Long Island iced tea, etc.), the RTD cocktail product line offers a variety of sophisticated flavours not easily replicated at home.
- RTD cocktails were found to be the most popular choice amongst U.S. consumers for reasons such as portability, comfortability, flexibility and variety of flavours (Mintel, 2022)

f. Seasonality

- In recent years, people have been associating RTD cocktails with summertime adventures, barbeques, vacations, beaches, and road trips (Siegener, 2019)
- almost 54% of the population enjoys drinking such beverages at any time and season, while a good 44% of the population enjoys drinking RTDs during summer (Mint, 2022)

A. Consumer Profiles

A scale was developed based on choice deferral theory to categorize different age and gender groups .

Respondents were asked to rate their level of agreement with the following alternatives/factors: Alcohol base, Cocktail flavour, Naturalness of ingredients, Exclusion of artificial ingredients, ABV percentage, Calories. Based on the Likert scale, each point was assigned scores between 0-5 and selection of these points from the 6 alternatives provided the total score for respondent's decisiveness with highest score being 30

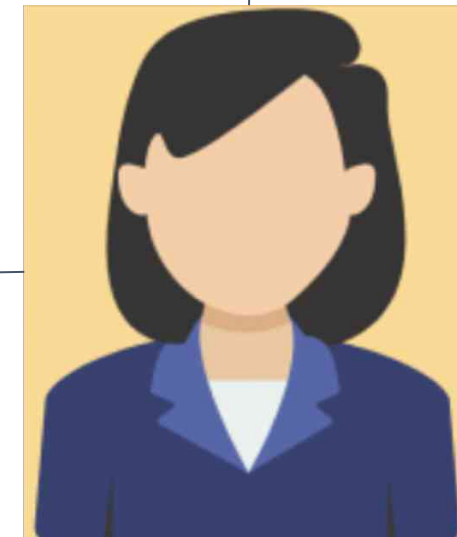
Scale	Decisiveness
0-10	Less concerned about alcohol base, flavor, ingredients, naturalness, ABV and calories in RTD cocktails; poor decision makers
10-20	Generally concerned about alcohol base, flavor, ingredients, naturalness, ABV and calories in RTD cocktails; moderate decision makers
20-30	Significantly concerned about alcohol base, flavor, ingredients, naturalness, ABV and calories in RTD cocktails; strong decision make

A.1 Findings

The overall average for the sample was **15.82** suggesting that the buying behavior of most consumers were **moderate decision makers** who were mostly concerned with most of the product features and somewhat thoughtful when weighing all the product features based on their preferences. Age groups of **35-44** and **women** were found to be the most well thought decisions makers when it came to making consumption decision for RTD cocktail

Age groups	Avg score	Gender	Avg score
18-24	14.81	Male	15.81
25-34	16.80	Female	16.46
35-44	17.15		
45 and above	16.78		

Somewhat likely to switch to other RTD beverages

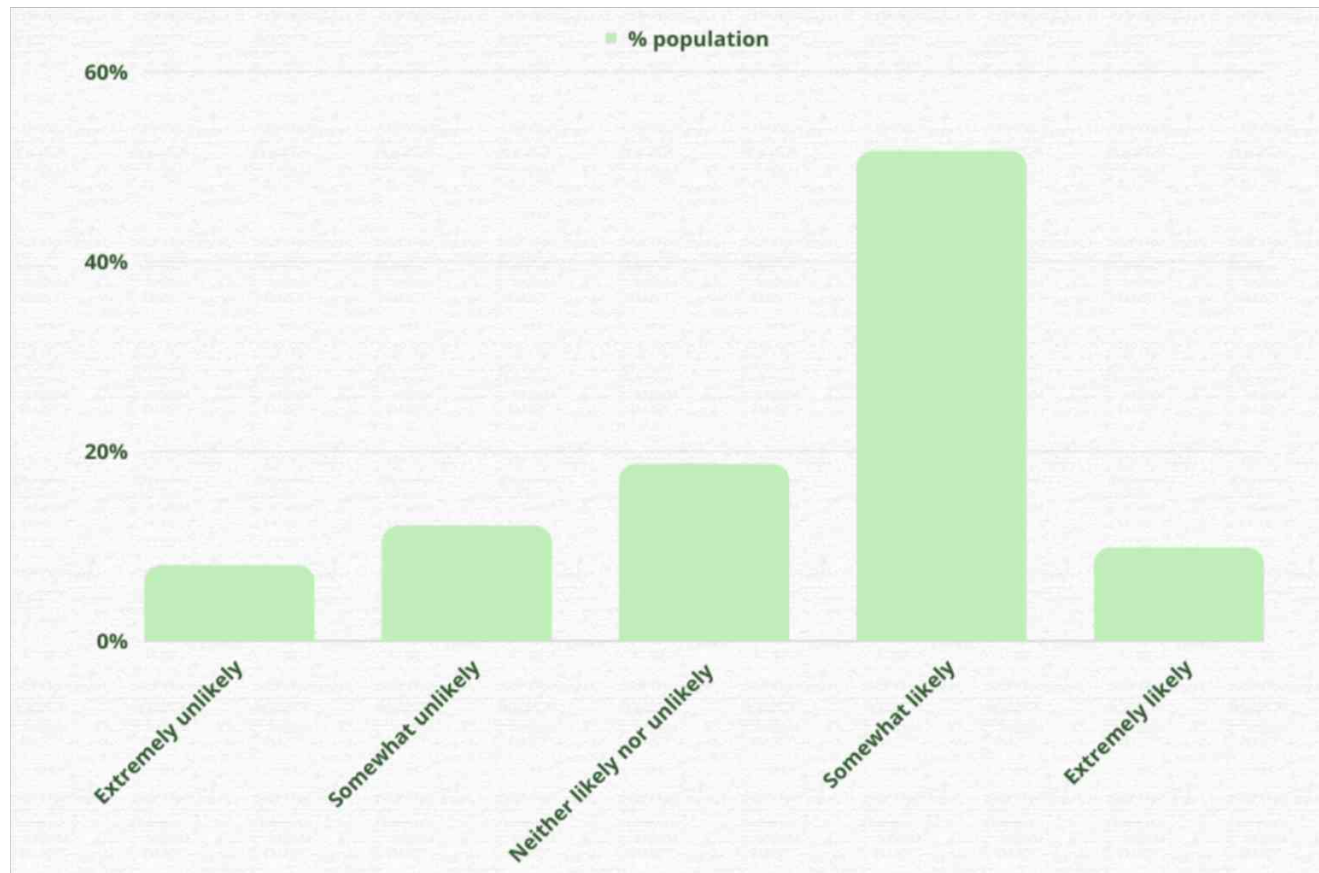


somewhat selective about RTD cocktail product features

Moderate decision-makers/Generally thoughtful

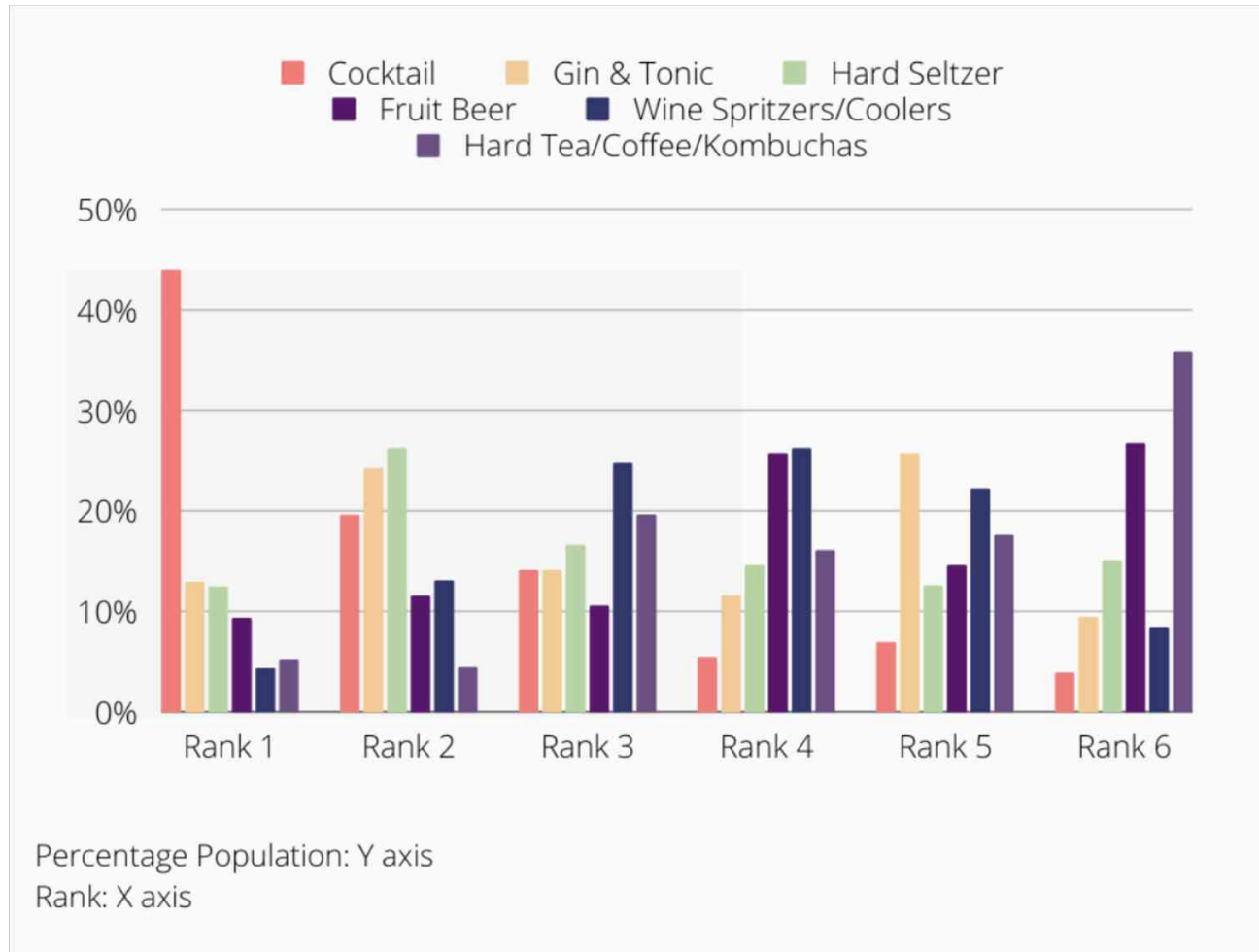
B. RTD Cocktail positioning in the RTD market

b.1 The likelihood of consuming RTD cocktails compared to other drinks



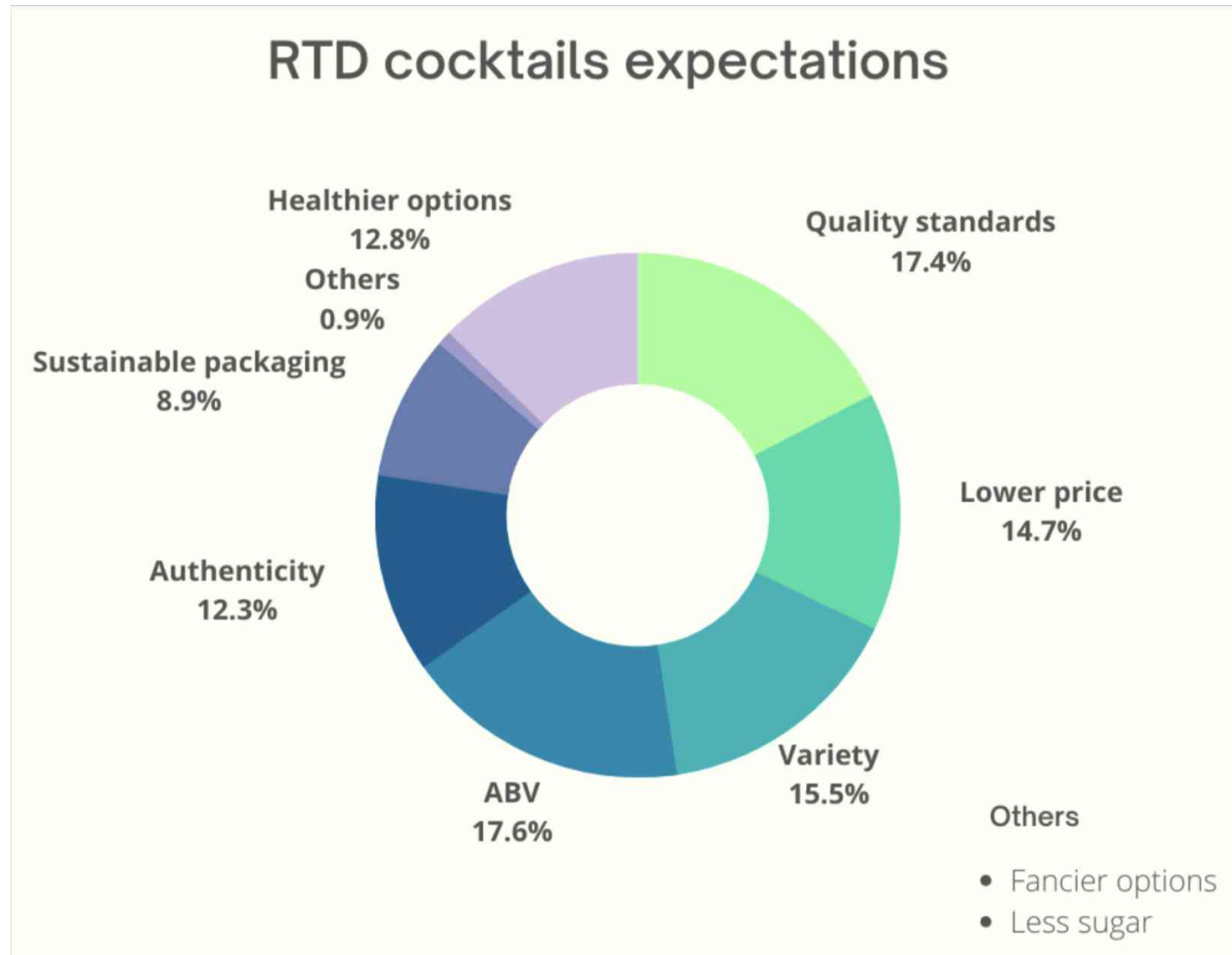
51.63% of the population considered RTD cocktails to be **somewhat likely to consume**. Overall, **61.4%** were **willing to consume RTD cocktails** compared to **20%** who were **not strongly willing to consume RTD cocktail**. **8.60%** of the population had **mixed feelings towards drinking RTD cocktails** and neither were likely nor unlikely to consume them

b.2 Preference for RTD cocktails over other RTD Beverages



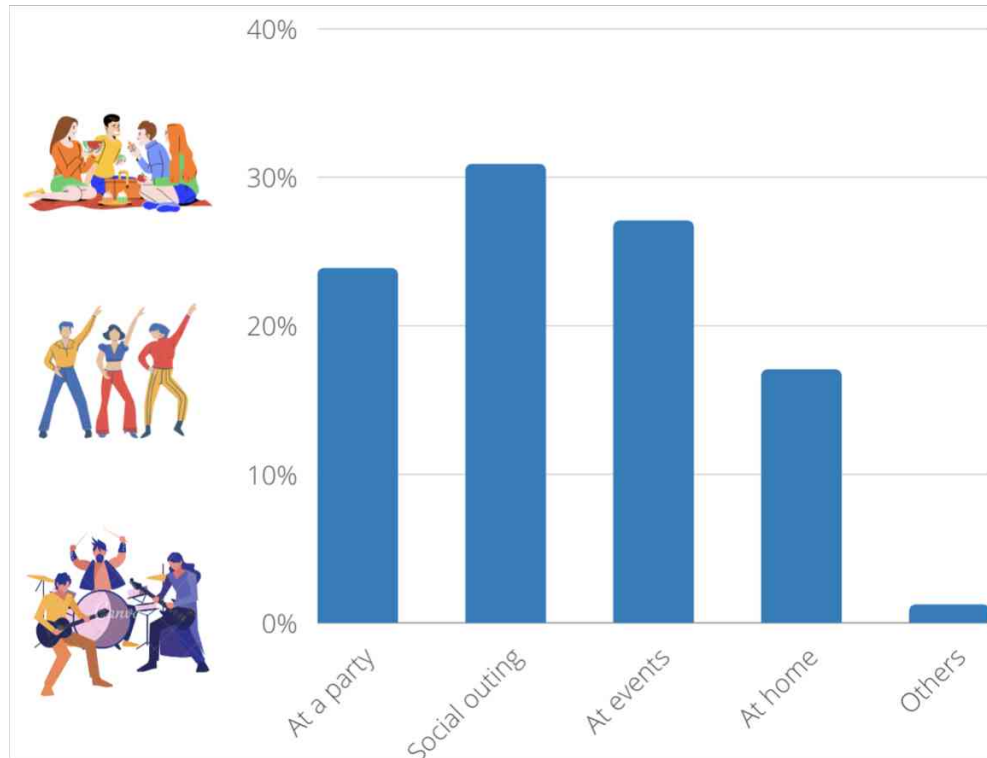
- **48% of the population - preferred RTD cocktails as their top choice**, while 19.6% and 14.1% of the population chose cocktails as their second and third choices making it the most preferred beverage compared to other beverages in the market.
- **Hard seltzers and gin & tonic were found to be close substitutes for cocktails** in the RTD market, as both were ranked as the second most preferred drinks by 26.7% and 24.2% of respondents, respectively

b.3 Expectations from RTD cocktails

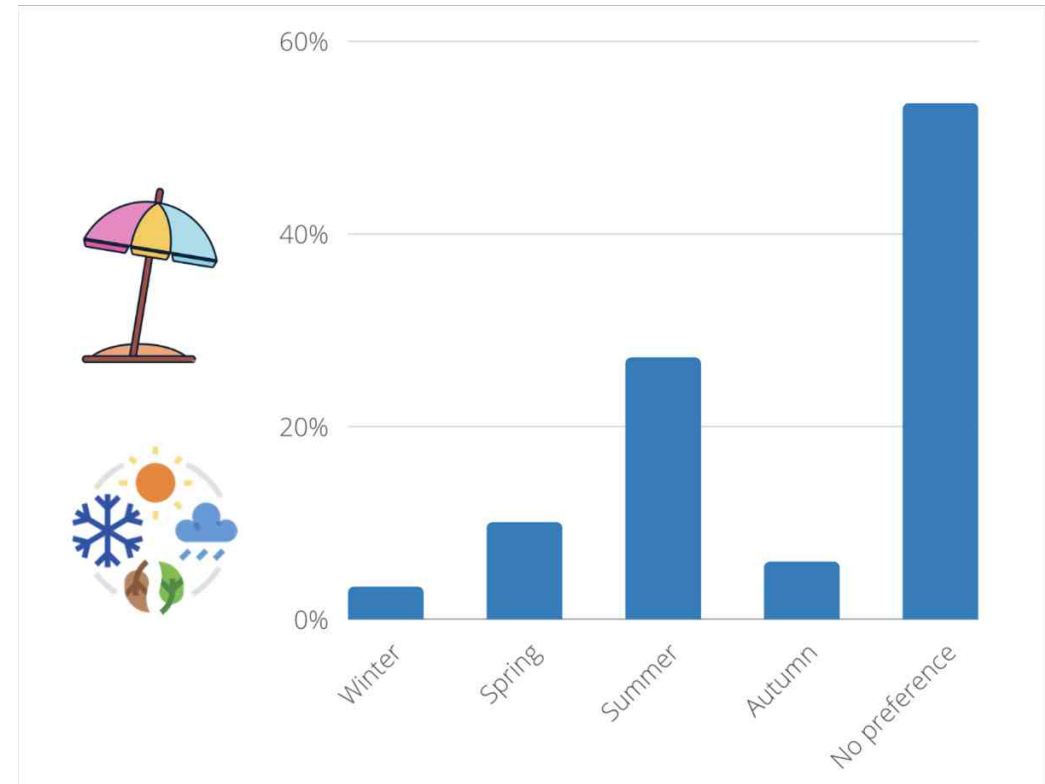


C. Consumption decision

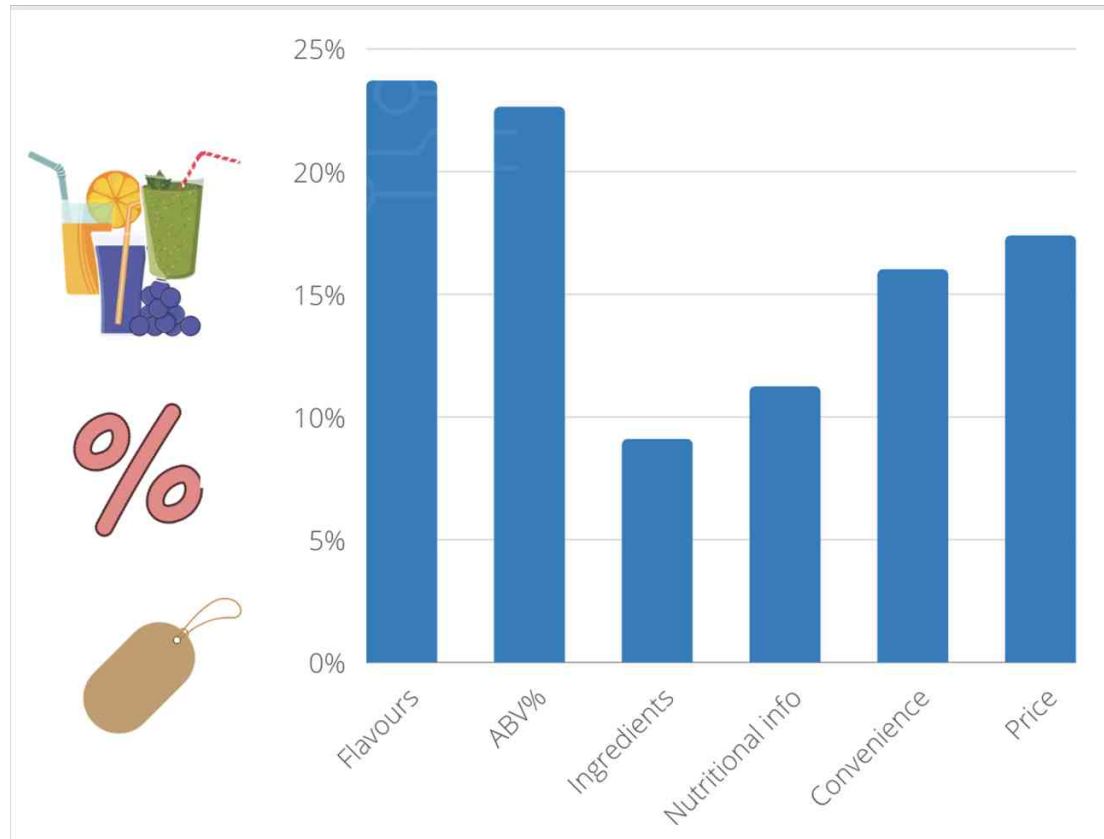
c.1. Preferred occasion to consume RTD cocktails



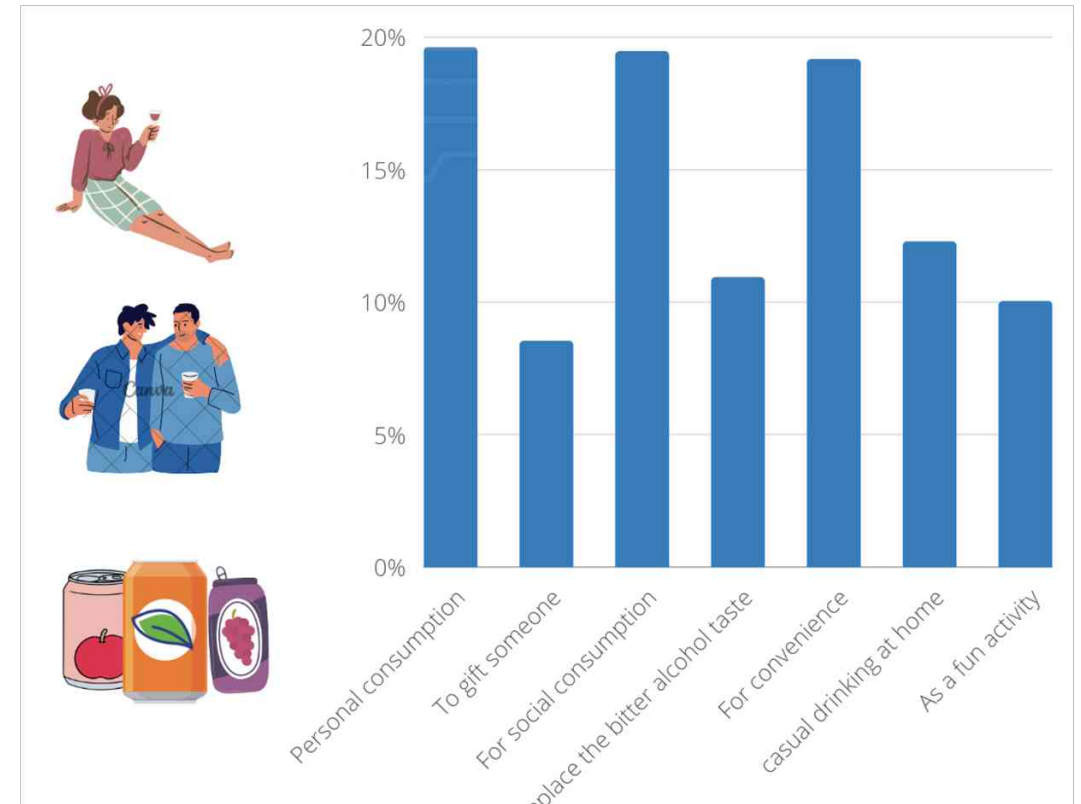
c.2. Preferred season to consumer RTD cocktails



c.2 Product features preferred for the consumption of RTD cocktails



c.3 Motives/Drives to consume RTD cocktails



D. Relationship between likelihood to consumer RTD cocktails and relevant factors

- Independent Variables: Occasionality factor (Occ), Seasonal factor (Seas), Convenience factor (Conv), Price factor (Pri), Sustainability factor (Sus), health factor (hel), Age, Gender (Gen)
- Dependent Variable: Likelihood to consume RTD cocktails (L1)
- No: There is no significant correlation between the two variables
- N1: There is a significant correlation between the two variables

L1			
	Pearson's correlation	Type of correlation	Sig Value
Occ	0.565	Positively moderate	.044
Seas	-0.118	Negatively weak	.378
Conv	0.625	Positively moderate	.031
Pri	-0.251	Negatively weak	.049
Sus	0.270	Positively weak	.040
hel	0.275	Positively weak	.037
Age	0.001	Positively weak	.997
Gen	0.215	Positively weak	.106

• Occasionality factor	Significantly positive correlation Moderately correlated	→	Likelihood to consumer RTD cocktails
• Seasonality factor	Significantly negative correlation Weakly correlated	→	Likelihood to consumer RTD cocktails
• Convenience factor	Significantly positive correlation Moderately correlated	→	Likelihood to consumer RTD cocktails
• Price Factor	Significantly negative correlation Weakly correlated	→	Likelihood to consumer RTD cocktails
• Sustainability factor	Significantly positive correlation Weakly correlated	→	Likelihood to consumer RTD cocktail

- Health factor  **Significantly positive correlation**
Weakly correlated → Likelihood to consumer RTD cocktails
- Age factor  **No correlation** → Likelihood to consumer RTD cocktails
- Gender factor  **No correlation** → Likelihood to consumer RTD cocktails

PART 2

About Product Features

- Alcohol Types and Packaging -



Product Attributes & Purchase intent



High quality ingredients



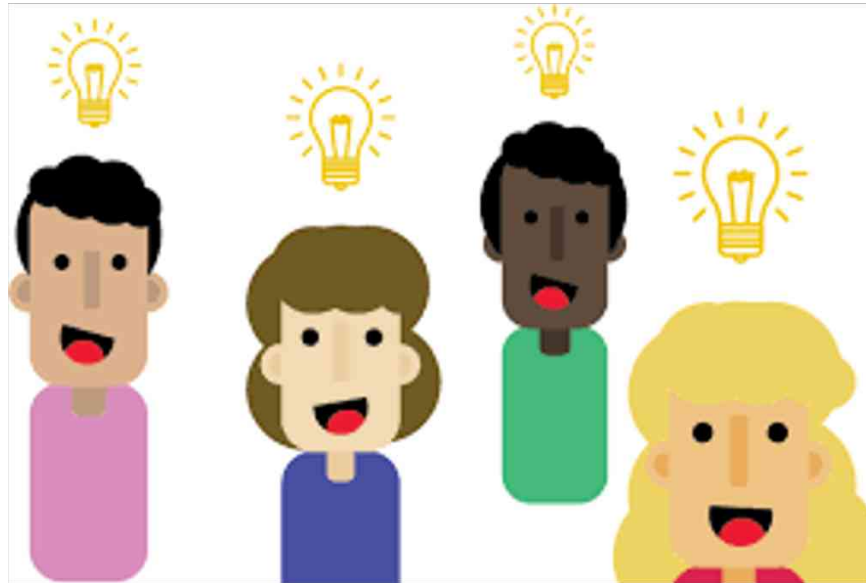
Alcohol type



Alcohol content



Cocktail flavour



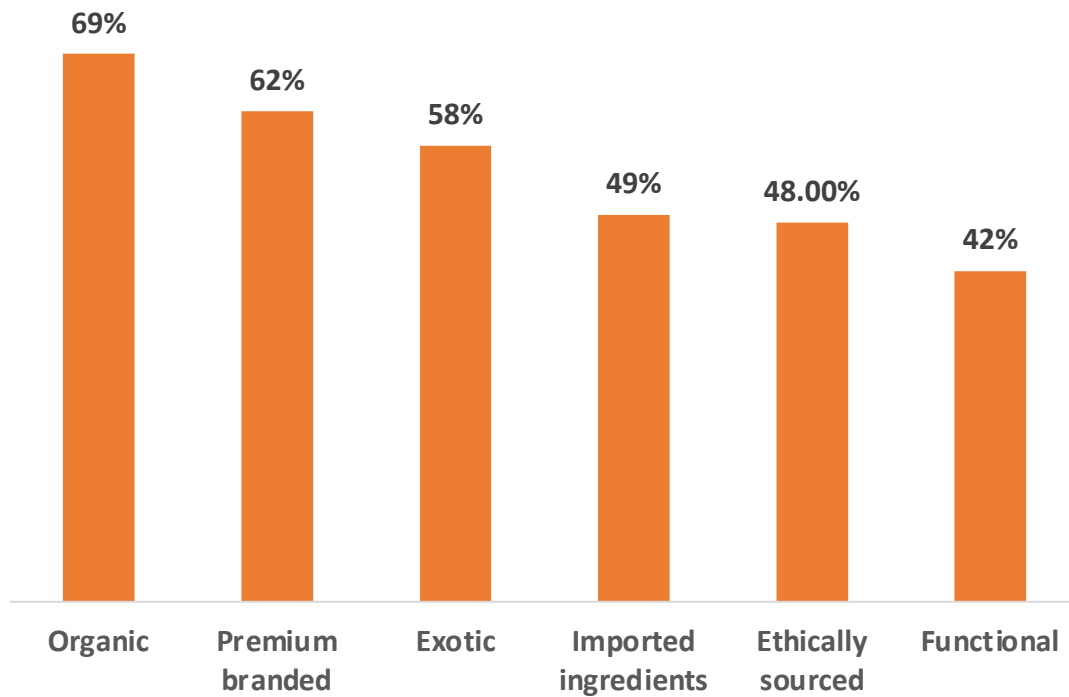
Participant profile

Gender – Male & Female
Age – 18 – 44 years
Location – United Kingdom
Behavior – Consumes Alcohol



Calorie value

What is high quality?



69% of Consumers consider organic ingredients to be high quality

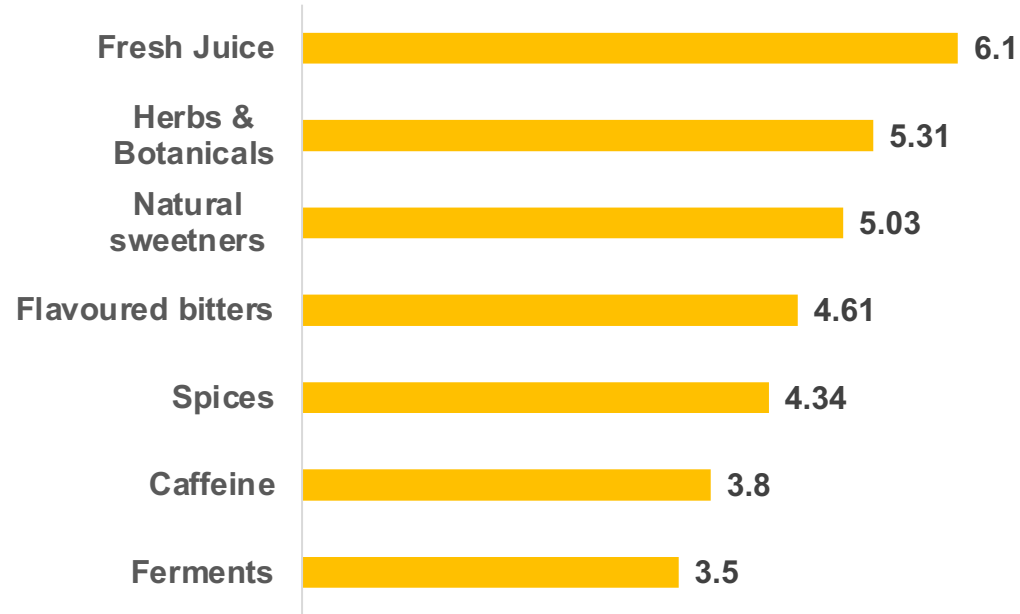


62% of Consumers consider premium branded ingredients such as Bombay Sapphire Gin to be high quality



58% of Consumers consider exotic ingredients such as Licorice, Rhubarb to be high quality

Preferred Ingredients



Top three



Fresh fruit juices



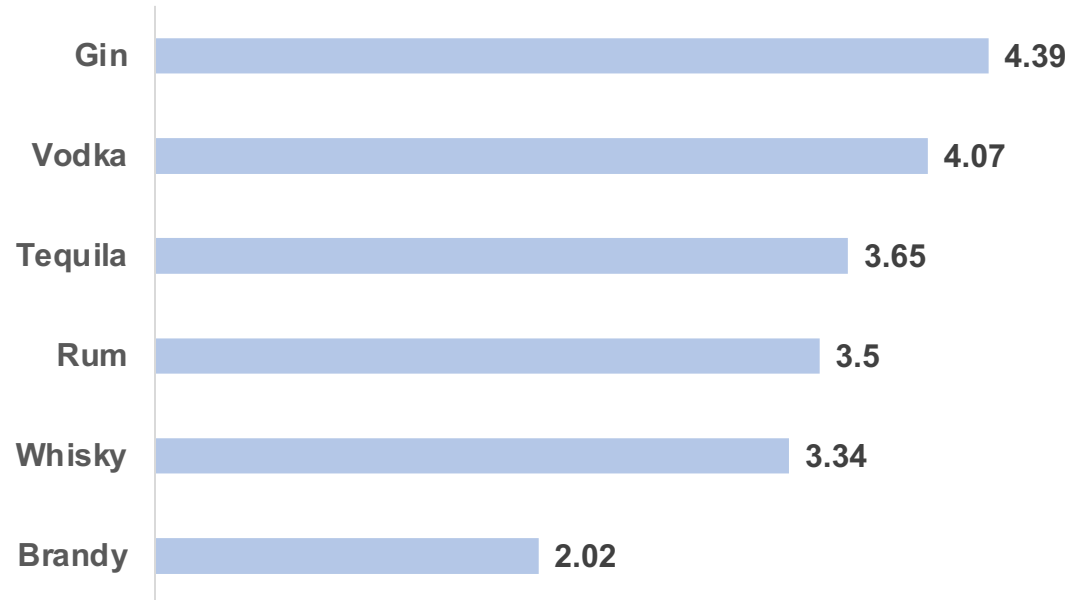
*Herbs and botanicals Eg.
Mint, lavender, Hibiscus etc*



*Natural sweeteners Eg.
Agave nectar, Honey etc.*

50% consumers ranked fresh juice as the most preferred
37% consumers ranked ferments as least preferred

Preferred Alcohol base



34% consumers prefer Gin based cocktails the most
47% consumers prefer Brandy based cocktails the least

Top three



Gin

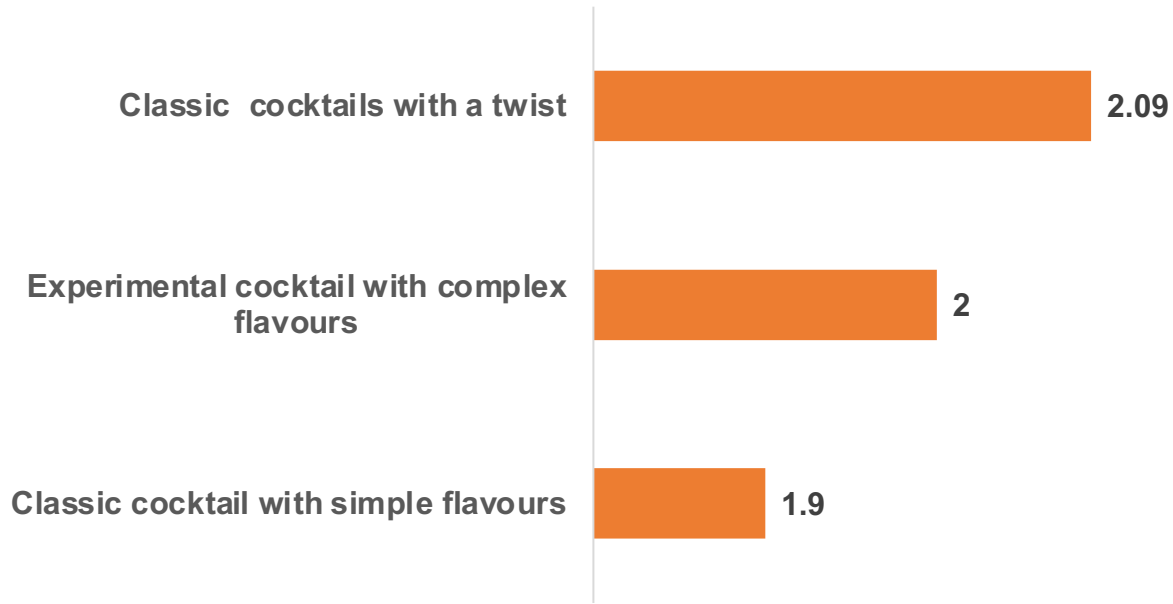


Vodka



Tequila

Preferred Cocktail flavors



Classic cocktails with a twist was the most preferred cocktail flavor.

E.g. Classic Martini with Rhubarb and Ginger, instead of traditional lemon flavor.

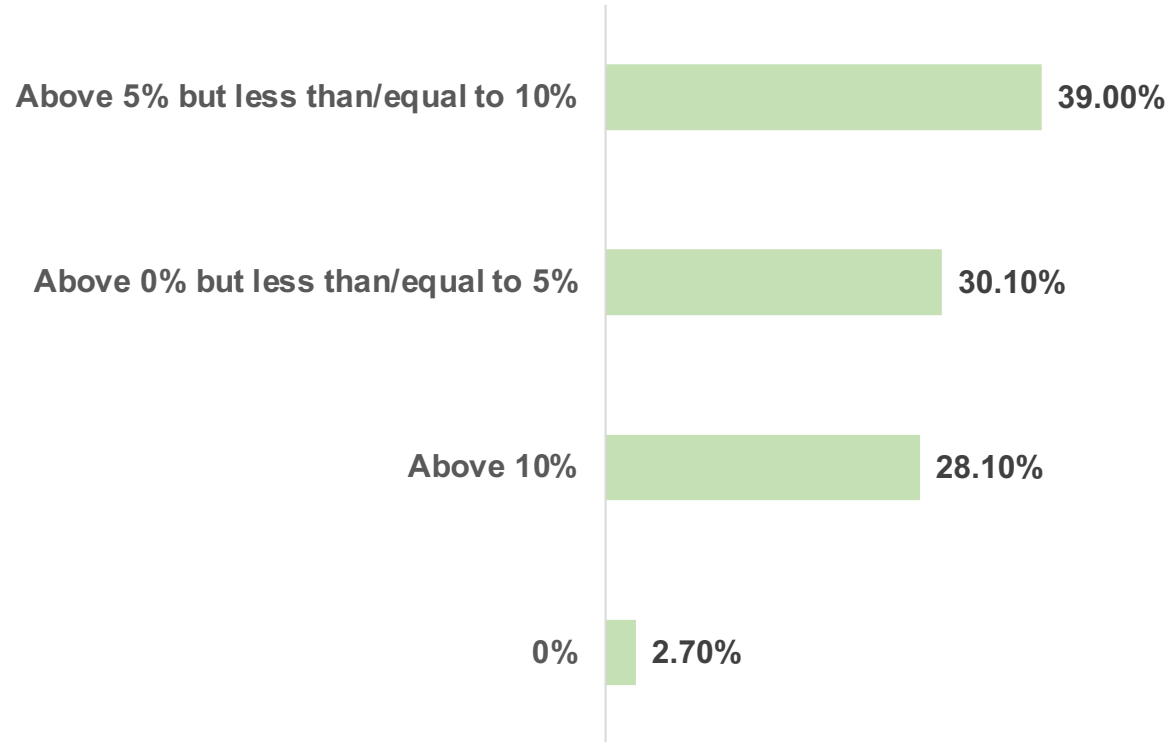
40% consumers prefer classic cocktails with a twist

37% consumers least preferred classic cocktails with simple flavors

“Consumers are seeking sophisticated flavor, with fun twists on classic cocktails that they can rely on”

(Bacardi cocktail trends report, 2021)

Preferred Alcohol Content (Per 200 ml)



39% consumers prefer 5%-10% ABV, equivalent to a 330 ml pint of beer or cider

30% consumers prefer 0%-5% ABV, equivalent to 275 ml of Alcopop such as WKD.

Altogether, 72% consumers prefer less than 10% ABV.

Product Improvement

	Cocktail flavor	Ingredients	Alcohol type	ABV%
Current cocktail offered by The Cocktail Co	Cosmopolitan	Vodka, Triple sec, fresh cranberries and lime leaves	Vodka and Triple sec	11% ABV
Scope of improvement	Twist to the classic cosmopolitan traditionally made with cranberries	- Use premium branded alcohol - Use an exotic ingredient - Use organic ingredients	None	Reduce ABV below 10%
Improved Version	Cosmopolitan with Rhubarb and Ginger	- Premium vodka - Premium Triple sec - Organic, fresh rhubarb juice - Organic fresh ginger juice - Organic agave nectar - Organic lime leaves	Vodka and Triple sec	5% ABV

New Product Development

Cocktail flavor	Ingredients	Alcohol type	ABV%
Monterita – An Italian twist to classic Margarita	• Patron premium tequila, • Montenegro Amaro (premium Italian herbal liqueur), • Organic agave syrup • Organic, freshly squeezed lime juice	• Tequila • Amaro (Italian herbal liqueur)	5%-10%
Pineapple martini	• Absolut vodka • Organic, freshly squeezed pineapple juice, • Maple syrup • Organic, freshly freshly squeezed lime juice	Vodka	5%-10%

PART 3.1

GenZ Consumers

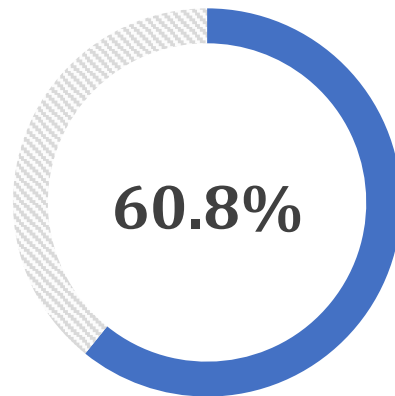


What about Gen Z Consumers?

Characteristics

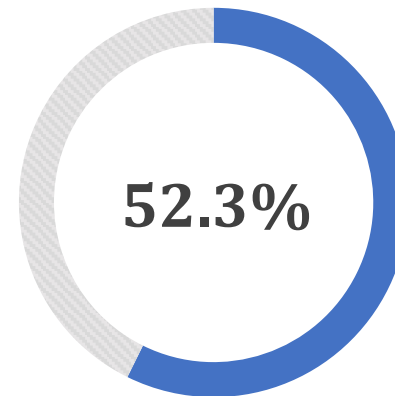
Gen Zers are

- ✓ Largest generation
- ✓ Digital natives
- ✓ Social-savvy
- ✓ Well-informed
- ✓ Value-driven



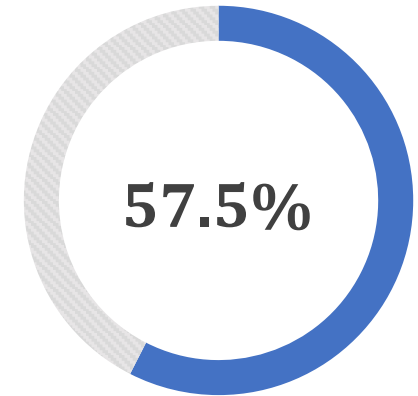
Over £300

Relatively high monthly disposable income



Drinking in public

Prefer to drinking outside rather than at home



Open to RTDs

willing to try new products of RTD cocktails

PART 3.2

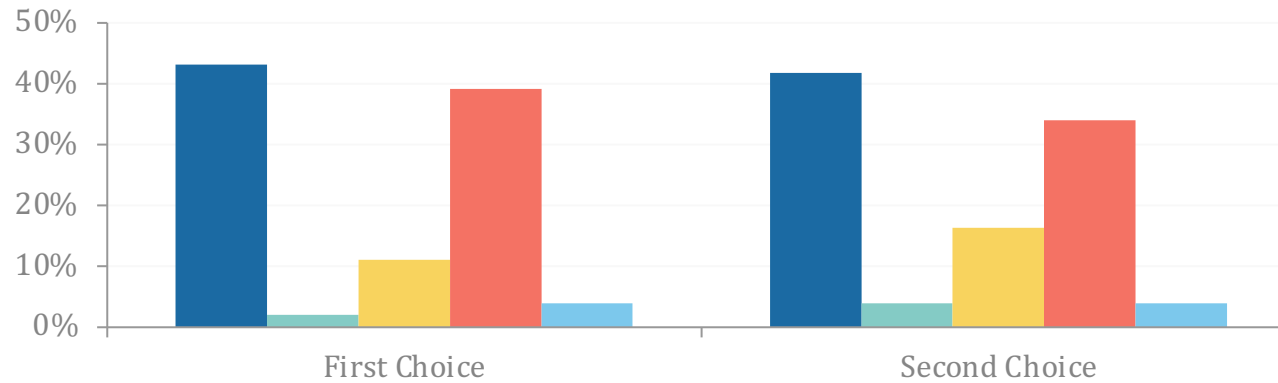
Product Features for Gen Z

- Alcohol Types and Packaging -

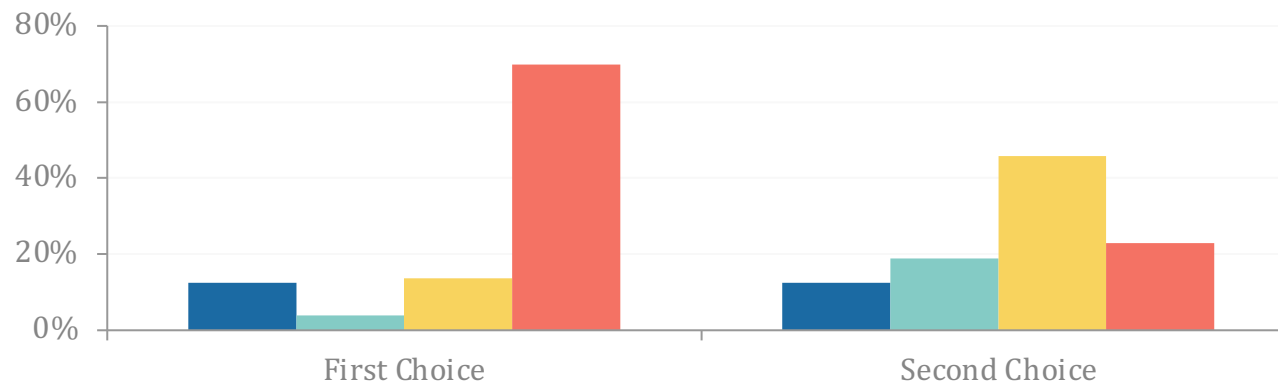
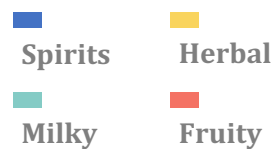


Drinking Preferences for Young Consumers

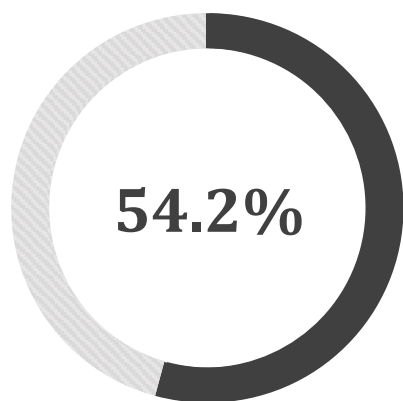
Tastes



Flavours

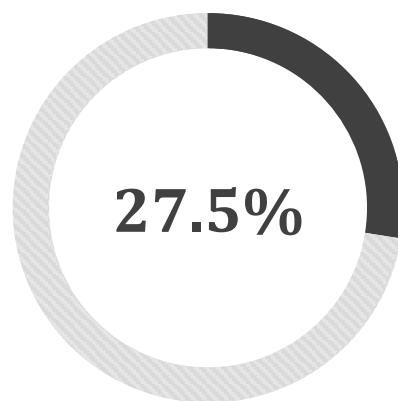


Speaking of Health-Related Issues



Health concerns?

Not really bother Gen Zers
during drinking



Reading health-related information?

Flavours & Tastes



Ingredients



Alcohol by Volume



Calories



"I care about calories in all that everything else but alcohol because I know ultimately, it's just a lot of carbs and sugar and other stuff. So, if I care about the calories, this is a negative. [...] I know it's already not good for me, but I will still drink it."

In Terms of Bottle Shapes



45.8% Beer Bottles

“Common and easy to hold with one hand”



46.4% Square Flask Bottles

“Associated with liquids and can be sneaked with”



5.2% Client's bottle

“Seems like a milk bottle”, “Looked like a mason jar”



28.1% Glass Vodka Bottles

“Too big”, “Feel high-quality”, “Too much alcohol to consume”

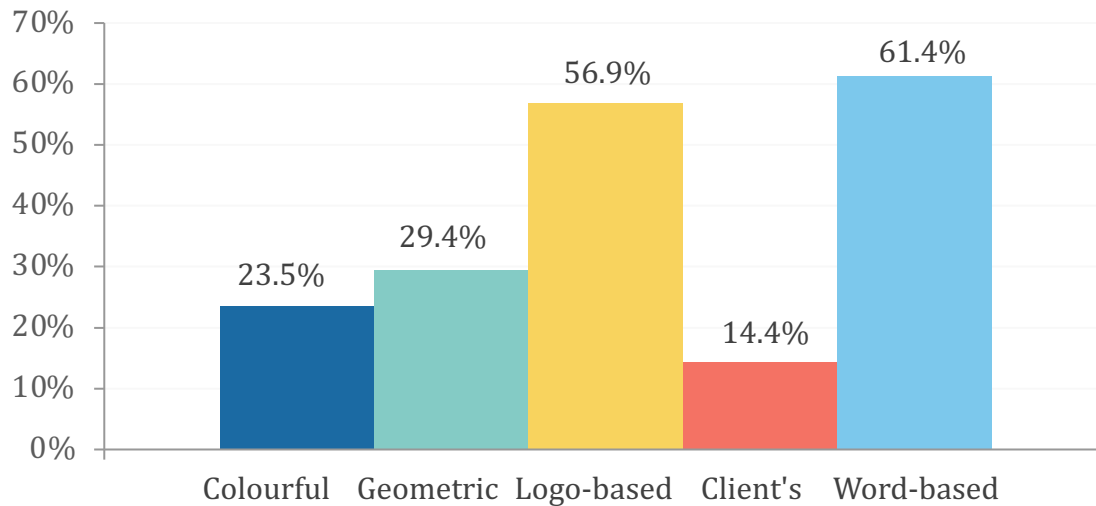


16.3% Clip Top Bottles

“It's a tap water bottle”, “Reminds me of cider or soft drinks”

- ✓ Convenient to add other ingredients with the wider bore
- ✓ Difficult to associate with alcohol drinks

Regarding Labeling Designs



Analysis

Simple

Modern

Balanced

Professional

High-End

Classy

Low-Class

Cheap

Messy

- ✓ Packaging appearances influence quality images to products
- ✓ Look at packaging generally and confirm tastes and ABV

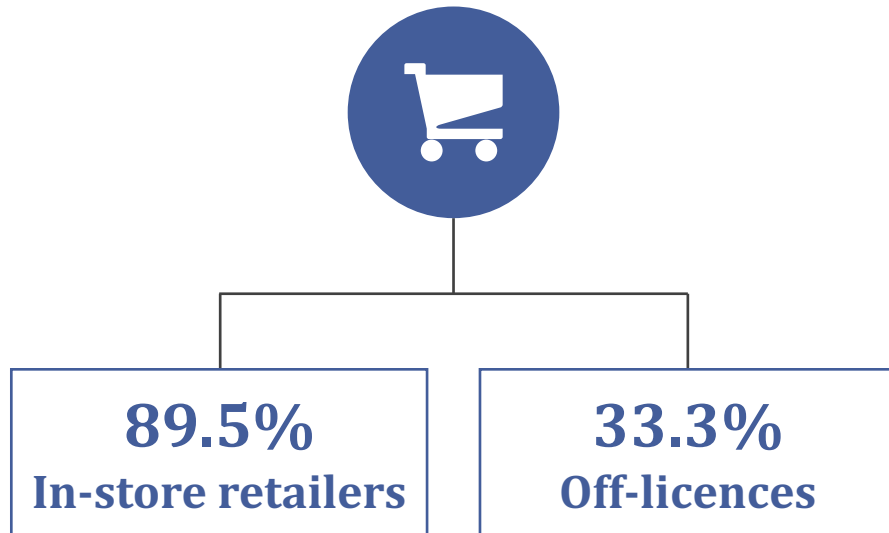
PART 3.3

About Distribution Channels

- Delivery Time and Shipping Fee -



Where to Buy Alcohol Drinks?



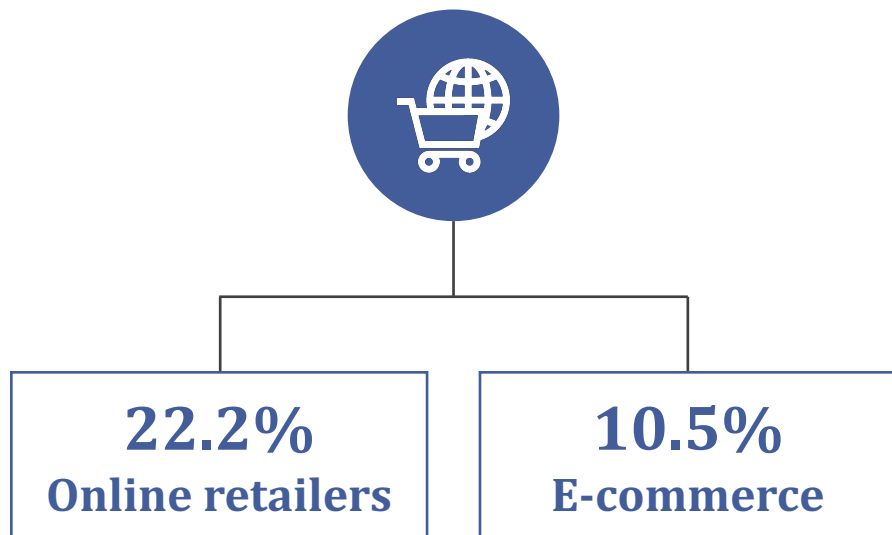
- ✓ Having products immediately (93.5%)
- ✓ Introduction from staff & Loyalty program/ discounts (both 22.9%)

"For me, I actually seldom buy beverages or and anything (online) except clothing. [...] Yeah, if I do go grocery shopping, I'll just go offline."

"If I just need to get one drink, I can just go to the store because the store is like five minutes away."

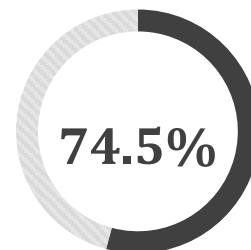
"But (shopping in stores,) I see what I want to buy, and it's very instantaneous."

Where to Buy Alcohol Drinks?



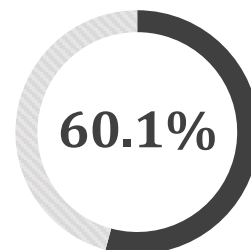
- ✓ Delivery to home (64.1%)
- ✓ Free shipping (50.3%)

"I only buy online if I was on or in social something. Because I can project when I want them or maybe I won't want them immediately."



Willing to pay for shipping fee

The acceptable cost is between £1-3 (49%)



Deliver time is very important

Expect to receive products in 1-2 days (47.1%)

PART 4

Conclusion for Gen Z Consumers

- Managerial Implications -



To Gen Z Consumers...



Products

Tastes and flavours are the factors for zoomers to choose RTD alcohol drink.



Packaging

Containers and labeling should be capable to deliver products values, which can present a high-quality and individualized image.



Information

Information delivery should focus on visualization and flavour description.



Distribution Channels

Physical distribution remains the primary channel.



Adjust the Drinks

- Keep the flavours and decrease the ABV
- Consider using bottles related to alcohol images and design labeling in simple and modern style



Reach Consumers in person

- Participate in physical activities and sample the drinks
- Educate customers the proper way to enjoy the drinks
- Promote other distribution channels to consumers for the next purchase



Thank You!

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